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iii. Unlimited Liability

When his business assets are not sufficient to pay off the business debts he has to pay from his personal property.

iv. Enjoying Entire Profit

He strives tirelessly for the improvement and expansion of his business and enjoys all the benefits of his hard work.

v. Absence of Government Regulation

A sole proprietor concern is free from Government regulations. No legal formalities are to be observed in its formation, management or in its closure.

vi. No Separate Entity

The sole trading concern comes to an end with death, disability, insanity and insolvency of the individual.

vii. Maintenance of Secrecy

Since he/she manages all the affairs of the business, the secrecy can be maintained easily.

4.04 Advantages and Disadvantages

Advantages

The following are the advantages of a Sole trader.

i. Easy Formation

No legal formalities are required to initiate a sole trading concern. Any person capable of entering into a contract can start it, provided he has the necessary resources for it.

ii. Incentive to Work hard

There is a direct relationship between effort and reward. The fact that the entire profit can be taken by himself without sharing with anybody else induces him to work ceaselessly.

Success story of Murugappa Group



The Murugappa Group is an Indian business conglomerate, founded, managed, and largely owned by the Murugappa family. The group has 28 business concerns including eleven listed companies traded on the National Stock Exchange of India and the Bombay Stock Exchange. Headquartered in Chennai, the major companies of the group include Carborundum Universal Ltd, Cholamandalam Investment and Finance Company Ltd., Cholamandalam MS General Insurance Company Ltd., Coromandel International Ltd., Coromandel Engineering Company Ltd., EID Parry (India) Ltd., ParryAgro Industries Ltd., Tube Investments of India Limited, and Wendt (India) Ltd., and Shanthi Gears Limited (Coimbatore).

They have presence in several segments including abrasives, auto components, bicycles, sugar, farm inputs, fertilizers, plantations, bioproducts and nutraceuticals, the group has forged strong alliances with leading international companies like Groupe Chimique Tunisien, Foskor, Cargill, Mitsui Sumitomo, Morgan Crucible and Sociedad Quimica y Minera de Chile (SQM). The Group has a wide geographical presence spanning 13 states in India and five continents around across the globe.

Brands like BSA, Hercules, Ballmaster, Ajax, Parry's, Chola, Gromor and Paramfos are from the stables of Murugappa. The organisation has a workforce of over 32,000 employees.